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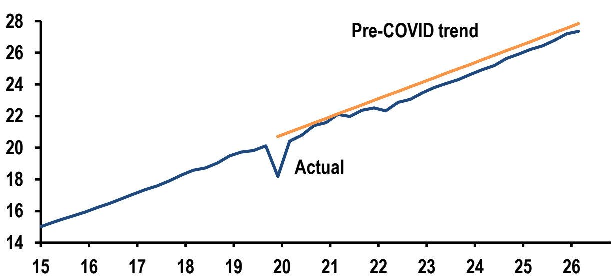
The many gaps in China

- **China's post-pandemic GDP remains ~1.5% below trend, despite 4.5%–5.5% headline growth**
- **Weak consumption is the oft-cited culprit**
- **But the bigger miss is investment, now extending beyond property to manufacturing and infrastructure**
- **Exports have become indispensable to growth, but are vulnerable to tariff increases and trade tensions**
- **2H growth depends on faster fiscal deployment after 1H under-execution**
- **Bond issuance is a signal, but key is recovery in infrastructure (and manufacturing) investment; otherwise meeting growth target may require more stimulus**

China's post-pandemic recovery has underwhelmed, weighed down by an ongoing, policy-driven, shift away from excessive dependence on real estate toward advanced manufacturing (the "new economy") and by broad, at times disruptive, regulatory tightening across property, internet platforms, and private education, which has dented private-sector confidence. Even so, fiscal support has helped to keep headline GDP growth in the 4.5–5.5% range. Despite this resilience, the GDP gap versus the pre-COVID trend is around -1.5% even five years after the pandemic (Figure 1).

Figure 1: China real GDP
Bn 1990 RMB



Source: NBS, J.P. Morgan

Beneath the surface, the dominant view is that weak domestic demand has been cushioned by strong exports, reflecting limited progress in rebalancing policy support from investment to consumption and from manufacturing to services. Market debate has centered on sluggish consumption, with growing calls for stronger household-focused fiscal support (income transfers, tax cuts, and higher social spending) and even for a stronger exchange rate. At the same time, concern has risen over how sustainable this heavier reliance on external demand really is.

While broadly correct, this narrative misses a key recent shift: investment weakness is no longer confined to real estate. Manufacturing and infrastructure investment have also declined sharply, with the level of investment well below pre-COVID trends, pointing to further headwinds to domestic demand.

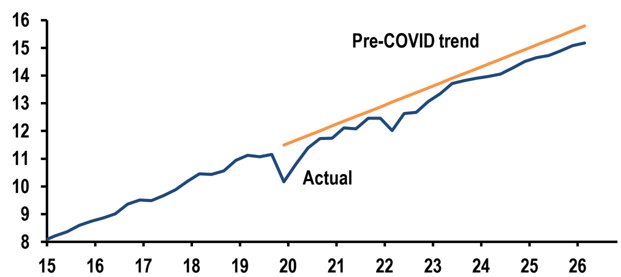
This note re-examines post-COVID growth through an expenditure-side GDP lens, unpacks the drivers of the surge in net exports, and assesses how exposed the 4.5% growth target is amid unusually weak consumption and investment and the role of macro policy.

Well-recognized weakness in consumption

Weak consumption has been the most widely recognized feature of China's post-COVID recovery. Household expenditure has underperformed nominal GDP growth, reflecting weak income expectations, elevated precautionary savings, housing-related wealth losses, and job security concerns. While policymakers have provided support via employment stabilization and targeted subsidies, the absence of large-scale income transfers has limited the boost to household demand. In level terms, consumption has trailed its pre-COVID trend by 3.5% (Figure 2).

Compared to its peers and DM, the shortfall in China is concentrated in services than goods. More importantly, the persistence of high savings points to deeper structural factors, including inadequate social protection and uncertainty surrounding healthcare, education, and elderly care costs.

Figure 2: China consumption under GDP
Bn 1990 RMB



Source: NBS, J.P. Morgan

Policymakers are keenly aware of the weakness. The State Council's Consumption 15th FYP targets 60tn yuan in retail sales by 2030, implying a 3.7% CAGR over 2026-30. However, with retail sales growth slowing to just 1.3% in 1H26, the rebound required in 2H26 would need to be exceptionally strong to remain on the implied trajectory.

Less recognized is the investment shortfall

In contrast to consumption, the scale of China's investment shortfall has drawn less attention. The prevailing narrative

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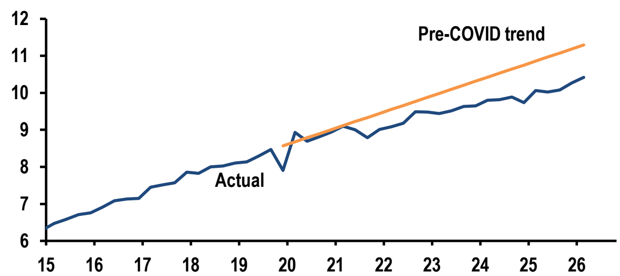
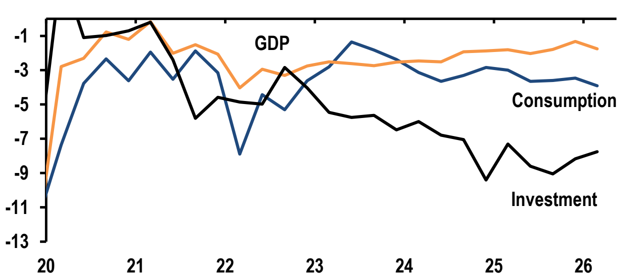
emphasizes the collapse in property investment, but the weakness extends well beyond housing. While the 17.2% decline in real estate investment was still a major drag in 2025, manufacturing and infrastructure investment have also slipped materially below their pre-COVID trajectories, pointing to a broad-based deterioration rather than a straightforward reallocation away from property. Overall investment is running about 8.5% below its pre-COVID trend (Figures 3 and 4), with only roughly half of that gap explained by real estate. Of the remainder, roughly one-third comes from manufacturing investment, and two-thirds from infrastructure investment.

Figure 3: China investment under GDP
Bn 1990 RMB



Source: NBS, J.P. Morgan

Figure 4: China growth gaps
%-pts deviation from pre-COVID trend

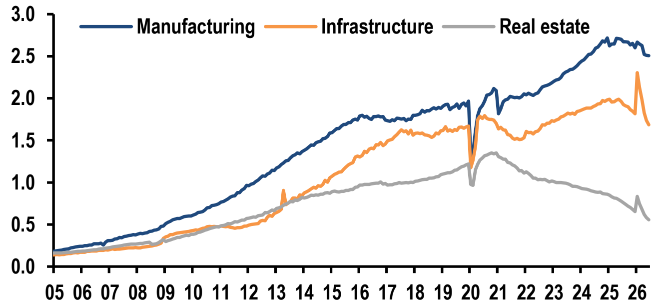


Source: NBS, J.P. Morgan

In manufacturing, the binding constraint appears to be weak expected returns rather than financing. Excess-capacity concerns, thin profitability, and soft domestic demand have curtailed firms' appetite for new capex beyond a narrow set of policy-favoured sectors (e.g., ICT). Export resilience has cushioned growth, but it has not catalyzed a broad-based investment upcycle. Amid uncertain external demand and intense competition, many firms have prioritized raising utilization and defending market share over adding capacity.

Infrastructure investment has also underwhelmed (Figure 5). The 2H25 contraction partly reflects an inter-cycle lull as the 14th Five-Year Plan projects neared completion and 15th Five-Year Plan initiatives had yet to ramp up. Fiscal execution has also fallen short in 2Q26 after a brief 1Q acceleration, with public investment declining sharply in 2Q amid slower government bond issuance and weaker fund deployment. One caveat is that official data may still understate AI+-related capex, as some emerging AI infrastructure outlays are not yet fully captured in traditional investment accounting.

Figure 5: China fixed asset investment
RMB tn, sa, deflated by PPI

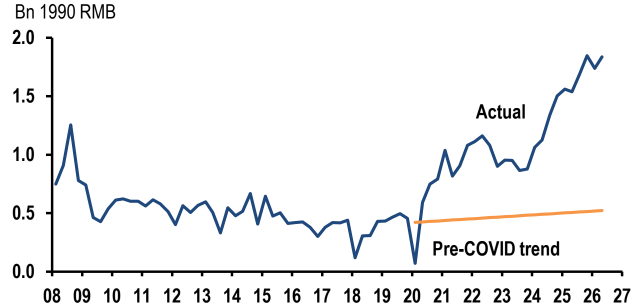


Source: NBS, J.P. Morgan

Exports come to the rescue

Against a backdrop of weak consumption and soft investment, net exports have become the key stabilizer of China's growth model. The shift has been striking (Figure 6). What began as a temporary offset during the COVID lockdowns has evolved into a primary engine of growth. Despite escalating tariffs and trade restrictions, exports have continued to outperform, supported by supply-chain rerouting, market-share gains, and deeper penetration of emerging markets, particularly in machinery, electrical equipment, batteries, solar products, and EVs. The result is a sharply higher trade surplus and one of the largest net-export contributions to GDP growth in decades.

Figure 6: Net exports under GDP
Bn 1990 RMB



Source: NBS, J.P. Morgan

A common view is that China's export exposure has rotated away from the US and become more concentrated in Asia. While this is true in bilateral nominal trade data, it may be less apparent on a value-added basis. A decent share of the rise in shipments to ASEAN and other Asian economies likely reflects rerouting rather than final demand: intermediate

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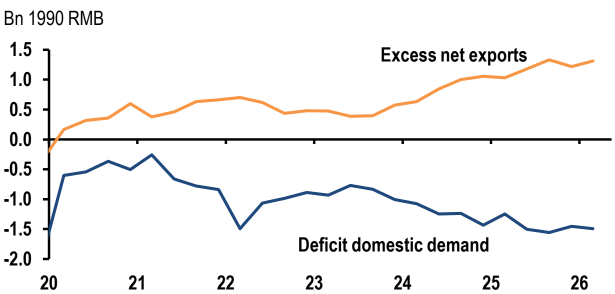
and assembled goods move through regional supply chains before ultimately being absorbed by US and other Western consumers. Put differently, the apparent shift from the US to Asia likely overstates diversification in end-market demand. Adjusting for trade-routing effects, US demand likely has remained a more important driver of China's export performance than bilateral trade figures alone would imply.

This makes exports the key bellwether for China's near-term growth outlook. In previous cycles, housing and investment acted as the primary shock absorbers. Today, that role has largely shifted to the external sector. As long as export resilience persists, China can likely maintain growth near the 4.5-5.0% range despite weak domestic demand.

However, the sheer magnitude of the net-export turnaround also highlights a growing vulnerability (Figure 7). Any meaningful slowdown in global demand, tighter enforcement against transshipment, or renewed tariff escalation could expose the extent to which headline growth has become dependent on exports rather than a broad-based recovery in consumption and investment.

Figure 7: Filling the gaps



Source: NBS, J.P. Morgan.
Note: Excess and deficit are measured as deviations from pre-COVID trends.

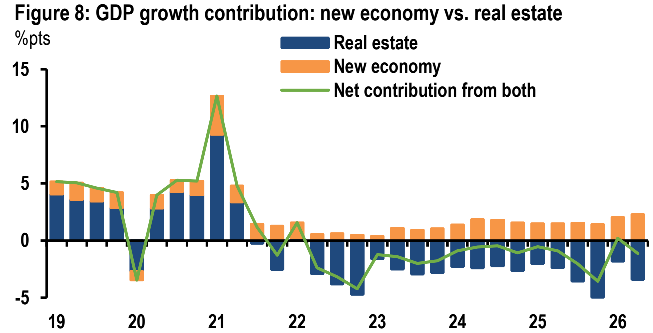
The adverse math of China's rebalancing

A significant share of China's recent economic difficulties reflects the slow pace of its ongoing structural transformation. The transition, launched in 2015 under Made in China 2025 (later reframed as Vision 2030) and reinforced by the CPC's 2017 shift toward "higher-quality growth" and broader sharing of gains ("common prosperity")—was intended to move the economy away from credit-intensive real estate and construction toward higher value-added manufacturing and high-end services. Progress, however, has been much slower than what policymakers had initially anticipated.

Figure 8 illustrates the issue. Real estate (direct and indirect) used to add an estimated 3.0–3.5%pts to overall growth, while the "new economy" provided roughly a 1%pt lift. Since the late-2021 regulatory tightening, real estate's contribution has fallen sharply and has been negative since late 2021.

Although the new economy's contribution has risen meaningfully, its small base (~10-15% of GDP) has constrained the offset, leaving the aggregate effect still a net drag on growth.

Figure 8: GDP growth contribution: new economy vs. real estate



Source: NBS, J.P. Morgan

Targeted capex: self-reliance, not scale

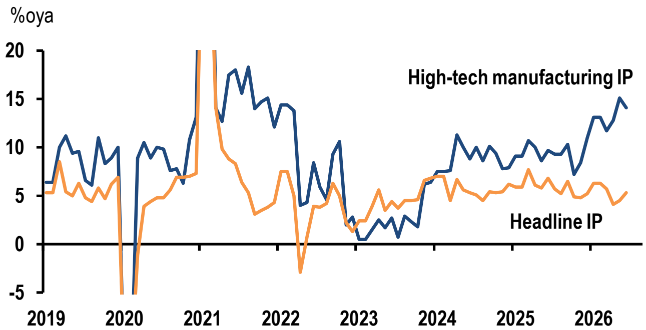
Despite the continued adverse growth arithmetic of rebalancing, China's policymakers have stayed the course. As such, unlike past investment cycles, a broad-based manufacturing capex boom looks unlikely. After years of export-led expansion, parts of the new-economy sector are already facing excess capacity, weak profitability, and intense price competition. Beijing's anti-involution campaign, intensified in 2H25, has explicitly targeted EVs, batteries, solar panels, chemicals, and other industries where supply growth has outpaced domestic demand. Policymakers increasingly recognize that indiscriminate capacity additions risk repeating the property-sector experience, where delayed adjustment prolonged deflationary pressures. As a result, investment policies are becoming more selective, with support shifting away from overcrowded sectors toward areas tied to national strategic priorities.

The 15th FYP puts industrial upgrading and technological self-reliance at the center of the growth strategy as China enters "version 3.5". Rather than expanding manufacturing for its own sake, the plan emphasizes moving up the value chain—semiconductors, aerospace, advanced materials, industrial software, high-end equipment, strategic minerals, and next-generation technologies such as AI, quantum computing, fusion energy, embodied intelligence, and 6G—to strengthen critical supply chains, reduce reliance on foreign technology, and bolster long-term competitiveness, productivity, and national security.

Within this framework, AI infrastructure has become the top investment priority. Under the "Compute + Connect + Power" pillars of the Six Networks initiative, policymakers are prioritizing large-scale deployment over frontier-model breakthroughs, directing capital toward data centers, power grids, computing networks, fiber-optic interconnects, cloud infrastructure, and related supply chains. "AI+" is effectively the new capex agenda, supporting demand for hardware, networking gear, batteries, grid equipment, and industrial automation.

Overall, the investment recovery is likely to be narrower, more policy-directed, and increasingly K-shaped (Figure 9): AI infrastructure, Six Networks projects, and selected strategic manufacturing should benefit, while excess-capacity sectors face tighter discipline, especially on the backdrop of ongoing local government debt pressure.

Figure 9: China high-tech manufacturing IP



Source: NBS, J.P. Morgan

How safe is this year's growth target?

In light of all this, and despite continued strong support from exports, the slide in growth to 4.3%oya in 2Q26, below both market expectations and the government's 4.5%–5.0% full-year target range, has raised questions about how secure this year's growth target is. We believe the weakness reflects fiscal under-execution rather than insufficient policy support. Budgetary spending growth slowed sharply in 2Q, infrastructure investment fell, government bond issuance lagged schedule, and fiscal deposits grew, reflective of unspent funds. As a result, despite the substantial fiscal firepower approved at the March NPC, its impact on activity has been muted.

On the positive side, this also implies there is substantial room for stronger fiscal support in 2H without raising the annual spending cap or increasing planned bond issuance (Table 1). The July Politburo meeting also urged faster implementation of existing measures, though it pledged greater counter-cyclical support, which we see as conditional.

Table 1: China government bond issuance

% of GDP	General CGB & LGB (official deficit)	Special CGB	Special LGB	Swap LGB	Total (ex. swap LGB)
2023	3.0	0.8	2.9	1.1	6.7
2024	3.0	0.7	3.2	1.5	6.9
1H25	2.0	0.8	1.5	1.3	4.3
2H25	2.1	0.2	1.7	0.4	4.0
1H26	1.7	0.4	1.4	1.1	3.5
2H26e	2.3	0.5	1.6	0.2	4.4

Source: MOF, J.P. Morgan

This underpins our call that GDP growth in 2H is likely to be stronger than in 2Q, securing an annual rate of around 4.5%, even as export growth may slow amid a fresh round of Section 301 US tariffs, a broader deterioration in US-China relations (including the risk of potential US sanctions on Chinese AI models following those on robotics), renewed Middle East tensions, and rising China-EU trade frictions.

While accelerated bond issuance is a key signal of more supportive fiscal policy, because only a small portion will be spent on supporting consumption, we look instead to a recovery in infrastructure and, to a lesser extent, manufacturing investment as more tangible signs. If such signs are not discernible by August–September, annual growth is likely to fall short of this year's 4.5%–5.0% target range without additional fiscal spending.

Our key concern on this front is weak implementation. Ongoing anti-corruption campaigns have increased risk aversion among local officials, while the October 5th Plenum and personnel reshuffles ahead of the 21st Party Congress may slow decision-making and project execution. As a result, the transmission from policy intent to actual investment spending is likely to be slower than in previous cycles, keeping the unusually large investment gap wide. This gap has become more important than weak consumption in explaining China's persistent deviation from its pre-pandemic growth trajectory.

That said, we believe policymakers may have become more tolerant of growth outcomes toward the lower end of the 4.5–5.0% range, reflecting the continued emphasis on better quality over headline growth. For now, however, any additional easing beyond the annual budget is likely to be conditional rather than pre-emptive, depending on both the pace of growth and the effectiveness of fiscal deployment over the next several months.

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